

19 February 2025

Subject Management's Discussion and Analysis of Financial Performance and Results of Operations for the year 2024

To The President
The Stock Exchange of Thailand

Praram 9 Hospital Public Company Limited (the "Company") would like to report Management's Discussion and Analysis of Financial Performance and Results of Operations for the year 2024 as follows:

Summary

Praram 9 Hospital is committed to provide high standard of services to satisfy our patients. We brought and implemented new technology and innovation to enhance efficiency not only in medical treatment but also service and operational workflow. Our focus is to fulfill the needs and satisfaction of our patients. During the year, the Company reshaped their strategies to make them align with rapid changes and the high competitiveness of market. The Company focused on market expansion, especially international patients and corporate customers affecting the success of company performance of year 2023.

In the fiscal year 2024, the Company performance improved significantly due to higher medical revenues which generated from the increase in both number of visit and revenue per visit/ revenue per case due to more complex treatments. The Company reported total revenues of Baht 4,690.5 million, an increase of 10.3% from 2023 which reported total revenues of Baht 4,252.8 million. The profit for the year 2024 was Baht 712.7 million or net profit margin of 15.2%, an increase of 27.8% from 2023 which reported profit for the year of Baht 557.9 million or net profit margin of 13.1%.

Statement of comprehensive income

Yearly Operating results

Revenues (Million Baht)	For year ended 31 December		Change (%)
	2024	2023	
Medical revenues from Out-Patient (OPD)	2,731.1	2,490.7	+9.6
Medical revenues from In-Patient (IPD)	1,904.3	1,711.3	+11.3
Total Medical revenues	4,635.4	4,202.0	+10.3
Rental and other income	55.1	50.8	+8.5
Total Revenues	4,690.5	4,252.8	+10.3

Medical revenues by category

	For year ended 31 December		Change (%)	Proportion	
(Million Baht)	2024	2023		2024	2023
Medical revenues by nationality					
Thai	3,849.2	3,625.7	+6.1	83%	86%
International	786.2	576.3	+36.3	17%	14%
Total Medical revenues	4,635.4	4,202.0	+10.3	100%	100%
Medical revenues by payment method					
Self-Pay	3,064.3	2,845.4	+7.6	66%	68%
Insurance	1,237.0	1,072.2	+15.4	27%	25%
Corporate Contract	334.1	284.4	+17.5	7%	7%
Total Medical revenues	4,635.4	4,202.0	+10.3	100%	100%

Major changes in the company's medical revenue of year 2024 are as follows: -

The out-patient revenues (OPD revenue) increased by 9.6% compared to last year. The increase was primarily due to an increase in both the number of outpatient visits and revenue per visit. The in-patient revenue (IPD revenue) increased by 11.3% compared to last year. The major increase was primarily due to an increase in revenue per patient day while there was a little bit of an increase in number of patient days.

Revenue from Thai patients increased by 6.1% comparing to last year while revenues from international patients increase by 36.3% comparing to last year. A significant increase of international patients resulted in a change in proportion of medical revenue breakdown by nationality which move up from 14% in year 2023 to 17% in year 2024. The increase was primarily due to the expansion of public relations to international patients, especially Middle East and CLMV. In addition, the Company continually collaborated with various insurance partners and corporates to promote brand awareness and increase patient engagement.

Cost of Hospital Operations and Expenses (Million Baht)	For year ended 31 December		Change (%)
	2024	2023	
Cost of hospital operations	3,045.4	2,820.0	+8.0
% of medical revenues	65.7	67.1	
Selling and administrative expenses	837.2	773.7	+8.2
% of total revenues	17.8	18.2	

In the fiscal year 2024, the Company reported the cost of hospital operations (including depreciation and amortization) of Baht 3,045.4 million or equal to 65.7% of medical revenues while the Company reported cost of hospital operations (including depreciation and amortization) of year 2023 Baht 2,820.0 million or equal to 67.1% of medical revenues.

In the fiscal year 2024, the Company reported the selling and administrative expenses (including depreciation and amortization) of Baht 837.2 million or equal to 17.8% of total revenues while the Company reported the selling and administrative expenses (including depreciation and amortization) of year 2023 Baht 773.7 million or equal to 18.2% of total revenues. The significant decreases in percentage of cost of hospital operation including selling and administrative expenses

were mainly from process improvements, cost management, incurring of economy of scale when revenue scaling up since some type of expense was fixed cost.

(Million Baht)	For year ended 31 December		Change
	2024	2023	(%)
Operating profit	807.9	659.1	+22.6
Depreciation and amortization	306.4	298.9	+2.5
EBITDA	1,114.3	958.0	+16.3
<i>EBITDA Margin (%)</i>	23.8	22.5	
Finance income	54.6	30.2	+81.0
Finance cost	0.5	0.6	-22.8
Income tax expenses	149.3	130.8	+14.2
Profit for the year	712.7	557.9	+27.8
<i>Net profit margin (%)</i>	15.2	13.1	
Total comprehensive income for the year	712.7	572.2	
Weighted average number of ordinary shares (Share)	786,300,000	786,300,000	
Basic earnings per share (Baht)	0.91	0.71	

In the fiscal year 2024, the Company reported Finance income of Baht 54.6 million, increased by 81.0% compared to year 2023 which reported Finance income of Baht 30.2 million. The major increase was mainly from reshuffle of excess cash to invest in fixed deposits at banks and debt instruments to get a higher yield of interest.

In the fiscal year 2024, the Company reported Finance cost of Baht 0.5 million, decreased by 22.8% compared to year 2023 which reported Finance cost of Baht 0.6 million resulting from an application of IFRS 16, lease liabilities.

In the fiscal year 2024, the Company reported Income tax expenses of Baht 149.3 million, increased by 14.2% compared to year 2023 which reported Income tax expenses of Baht 130.8 million. During 4th quarter of year 2024, the Company received tax privilege from Board of Investment Thailand since the Company offered support to community according to BOI condition.

The Company reported net profit for the year 2024 of Baht 712.7 million, representing the net profit margin 15.2% of total revenue, increased by 27.8% compared to year 2023 which reported net profit Baht 557.9 million, representing the net profit margin 13.1% of total revenue. Basic earnings per share of Baht 0.91 per share and Baht 0.71 per share in 2024 and 2023 respectively.

Statement of Financial Position

Statement of Financial Position (Million Baht)	As of 31 December 2024	As of 31 December 2023	Change (%)
Current assets	2,657.5	2,251.5	+18.0
Non-current assets	3,741.6	3,658.6	+2.3
Total assets	6,399.1	5,910.1	+8.3
Current liabilities	757.7	632.0	+19.9
Non-current liabilities	202.8	198.4	+2.2
Total liabilities	960.5	830.4	+15.7
Total shareholders' equity	5,438.5	5,079.7	+7.1
Total liabilities and shareholders' equity	6,399.1	5,910.1	+8.3

1. Assets

As of 31 December 2024, the Company reported current assets of Baht 2,657.5 million, increased by 18.0% compared to Baht 2,251.5 million as of 31 December 2023. This resulted from an increase in current financial assets due to reshuffle of excess cash to invest in fixed deposits at banks and debt instruments to get a higher yield of interest.

As of 31 December 2024, the Company reported non-current assets of Baht 3,741.6 million, increased by 2.3% compared to Baht 3,658.6 million as of 31 December 2023.

2. Liabilities

As of 31 December 2024, the Company reported current liabilities of Baht 757.7 million, increased by 19.9% compared to Baht 632.0 million as of 31 December 2023. This resulted from an increase in advance revenue from selling prepaid check-up vouchers, which customers had not yet used.

As of 31 December 2024, the Company reported non-current liabilities of Baht 202.8 million, increased by 2.2% compared to Baht 198.4 million as of 31 December 2023.

3. Shareholders' equity

As of 31 December 2024, the Company reported shareholders' equity of Baht 5,438.5 million, increased by 7.1% compared to Baht 5,079.7 million as of 31 December 2023. This was mainly from net profit for the year of Baht 712.7 million offsetting with a dividend payment from operating result year 2023 of Baht 235.9 million and interim dividend payment year 2024 of Baht 117.9 million.

Cash flow statement

Cash flow statement (Million Baht)	For year ended 31 December	
	2024	2023
Cash flows from operating activities	1,039.9	804.1
Cash flows from (used in) investing activities	(2,038.2)	(377.9)
Cash flows used in financing activities	(357.7)	(240.3)
Net increase (decrease) in cash and cash equivalents	(1,356.1)	185.9

In the fiscal year 2024, the Company reported cash flows from operating activities of Baht 1,039.9 million, increased by Baht 235.8 million compared to the last year of Baht 804.1 million.

In the fiscal year 2024, the Company reported cash flows used in investing activities of Baht 2,038.2 million. This was mainly due to the increase in fixed deposits at banks and debt instruments incurred during the year Baht 1,790.1 million. An acquisition of fixed assets during the year was Baht 248.1 million. The Company reported cash flows from investing activities of Baht 377.9 million in year 2023 which major investment were from fixed deposits at banks and debt instruments incurred during the year Baht 71.8 million. An acquisition of fixed assets during the year was Baht 306.1 million.

In the fiscal year 2024, the Company reported cash flows used in financing activities of Baht 357.7 million which mainly was the dividend payment and payment of lease liabilities compared to the year 2023 which reported cash flows used in financing activities of Baht 240.3 million.

Key Financial Ratio		For the Year Ended 31 December	
		2024	2023
Liquidity Ratio			
Current ratio	(Time)	3.5	3.6
Average collection period	(Day)	27.8	28.4
Average days sales of inventory	(Day)	6.3	6.4
Average account payables days	(Day)	26.1	22.7
Cash cycle	(Cycle)	7.9	12.2
Profitability Ratio			
Gross profit margin	(%)	34.3	32.9
Net profit margin	(%)	15.2	13.1
Return on average shareholders' equity	(%)	13.6	11.4
Return on average assets	(%)	11.6	9.7
Debt to equity ratio	(Time)	0.2	0.2
Interest bearing debt to equity ratio	(Time)	-	-

Please be informed accordingly,

Yours sincerely,

Praram 9 Hospital Public Company Limited

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Satian Pooprasert, M.D.

Chief Executive Officer